HIGHER LEVEL

1(A) Company Final Accounts — 120 MARKS

(a) Trading, Profit & Loss Account of Martin Ltd for the year ended 31/12/2024 (1) **(70 marks)**

	W	€		€		€
Sales					**(3)**	645,500
Less Cost of Sales						
Opening stock				35,000	**(2)**	
Add Purchases	**1**			333,750	**(5)**	
				368,750		
Less Closing stock	**2**			-16,465	**(4)**	
Cost of Sales						352,285
Gross Profit						293,215
Less Expenses:						
Administration Expenses ***						
Salaries and general expenses	**3**	124,250	**(4)**			
Patent write-off	**9**	13,075	**(3)**			
Audit fees		18,600	**(3)**			
Loss on damaged stock	**5**	750	**(3)**			
Depreciation on buildings	**10**	13,800	**(3)**	170,475		
Selling & Distribution Expenses ***						
Advertising		6,400	**(3)**			
Bad debt	**16**	6,300	**(3)**			
Sales commission	**13**	5,865	**(3)**			
Depreciation – Delivery van	**14**	29,250	**(4)**			
Loss on disposal of delvery van	**8**	8,750	**(4)**	56,565		
Total Expenses						227,040
						66,175
Add Operating Income						
Decrease in bad debt provision	**7**			1,220	**(4)**	
Discount received				1,400	**(3)**	2,620
Operating profit						68,795
Investment Income receivable	**6**				**(3)**	5,600
Debenture interest payable	**4**				**(4)**	(8,500)
Net Profit						65,895
Less Dividends paid					**(3)**	(26,000)
Retained Profit						39,895
Profit & Loss balance 01/01/2024					**(3)**	52,600
Profit & Loss balance 31/12/2024				**	**(2)**	**92,495**

**** correct figure only**

(b) Balance Sheet of Martin Ltd as at 31/12/2024 **(50 marks)**

		€		€		€			
	W	**Cost**		**DEP**		**NBV**		**Total**	
Intangible Fixed Assets									
Patents	**9**							65,375	**(3)**
Tangible Fixed Assets									
Land and buildings		975,000	**(1)**	0		975,000			
Delivery vans	**15**	200,000	**(3)**	**102,250	**(3)**	97,750			
		1,175,000		**102,250		1,072,750		1,072,750	
Financial Assets									
4% Investments								240,000	**(2)**
Current Assets									
Stock	**2**			16,465	**(1)**				
Debtors	**16**			31,020	**(4)**				
Insurance compensation due	**5**			1,750	**(2)**				
Investment income due	**6**			1,550	**(2)**				
Advertising prepaid	**11**			17,600	**(2)**	68,385			
Less Creditors: amounts falling due within one year									
VAT				2,900	**(2)**				
Creditors	**18**			24,680	**(4)**				
Bank	**17**			27,270	**(4)**				
Sales commission due	**13**			5,865	**(3)**				
Debenture interest due	**4**			4,500	**(2)**	65,215			
Working Capital								3,170	
Total Net Assets								**1,381,295**	
FINANCED BY:									
Creditors: amounts falling due after more than one year									
4% Debentures								225,000	**(2)**
Capital and Reserves				**Authorised**		**Issued**			
Ordinary shares @1 each			**(1)**	1,000,000		795,000	**(1)**		
6% Preference shares @1 each			**(1)**	750,000		60,000	**(1)**		
				1,750,000		855,000			
Revaluation reserve ***	**19**					173,800	**(2)**		
Capital reserve						35,000	**(2)**		
Revenue reserves (Profit & loss balance 31/12/2024)						92,495	**(2)**	1,156,295	
Capital Employed								**1,381,295**	

*** award marks if consistent with student's figures from P&L account.*
***Workings** (with breakdown of individual marking scheme)*
**** Deduct 1 mark if Revaluation Reserve is not placed immediately after share capital.*
**** Penalise 1 mark each for the omission of two headings, Administrative and Selling & Distribution expenses in the Profit & Loss Account (max 2 marks).*
Penalise 1 mark for omission of the word Authorised Capital in the Balance Sheet.

Question 1(a) – Workings

1	Purchases	385,000 -8,000 – 2,500 – 40,750	**(5)**	333,750
2	Closing stock	25,500 – 3,450 + 2,415 – 8,000	**(4)**	16,465
3	Salaries & general expenses Suspense	120,250 + 4,000 (suspense) (5,500 – 1,500) = 4,000	**(4)**	124,250
4	Debenture interest payable Debenture interest due	150,000 x 4% + 75,000 x 4% x 10/12 (8,500 – 4,000)	**(4)** **(2)**	8,500 4,500
5	Loss on damaged stock Insurance compensation due	2,500 – 1,750	**(3)** **(2)**	750 1,750
6	Investment income receivable Investment income due	(240,000 x 4% x 7/12) 5,600 – 3,200 – 850	**(3)** **(2)**	5,600 1,550
7	Decrease in bad debt provision	3,200 – 1,980	**(4)**	1,220
8	Loss on disposal	40,000 – 17,000 – 14,250	**(4)**	8,750
9	Patents Patents write-off	75,250 + 3,200 – 13,075 (75,250 + 3,200) / 6	**(3)** **(3)**	65,375 13,075
10	Depreciation on buildings	875,000 – 185,000 = 690,000 x 2%	**(3)**	13,800
11	Advertising Advertising prepaid	24,000 – (24,000 x 11 /15) 24,000 x 11/15	**(3)** **(2)**	6,400 17,600
12	Bad debt	9,000 x 70%	**(3)**	6,300
13	Sales commission Sales commission due	645,500 – 450,000 = 195,500 x 3%	**(3)** **(3)**	5,865 5,865
14	Depreciation on delivery van	(185,000 x 15% x 4/12) + (200,000 x 15% x 8/12)	**(4)**	29,250
15	Delivery vans at cost	185,000 + 55,000 – 40,000	**(4)**	200,000
16	Debtors	Debtors (42,000 – 2,700 – 6,300) = Provision for Bad Debts 33,000 x 6% = Debtors B/S (33,000 – 1,980) =	**(2)** **(2)**	33,000 1,980 31,020
17	Bank	–31,000 + 2,700 + 180 + 850	**(4)**	27,270
18	Creditors	27,000 + 5,500 – 8,000 +180	**(4)**	24,680
19	Revaluation reserve	100,000 + 73,800	**(2)**	173,800
20	Accum. Depr. – delivery vans	90,000 + 29,250 – 17,000	**(3)**	102,250

**Award marks if loss on damaged stock is included in salaries and general expenses*

Supplementary page(s) to explain workings:

1.

Stock	€	
Closing Stock	25,500	
-Original Cost	-3,450	
+ Net Realisable Value	2,415	
	24,465	
-Sale or Return (note 3)	-8,000	i.e. 9,200 x 100 / 115
	16,465	**Trad & BS**

2.

Suspense A/C

		Difference	**4,000**
Creditors	**5,500**	**Interest payable**	**1,500**
	5,500		**5,500**

Interest Payable A/C

Bal b/d	**2,500**		
Suspense	**1,500**	**Balance c/d**	**4,000**
	4,000		**4,000**

150,000 x 4% x 6/12 = 3,000
75,000 x 4% x 4/12 = 1,000
4,000

Creditors A/C

		Bal b/d	27,000
Bal c/d	32,500	Suspense	5,500
	32,500		32,500
		Bal b/d	32,500

Salaries and General Expenses A/C

Bal b/d	120,250		
Suspense - difference	4,000	Balance c/d	124,250
	124,250		124,250
Bal b/d **P & L**	124,250		

3.

Creditors A/C

Sale / return	8,000	Bal b/d	32,500
Suspense - difference	24,500		
	32,500		**32,500**
		Bal b/d	24,500

Purchases A/C

Bal b/d	385,000	Sale or return	8,000
		Balance c/d	377,000
	385,000		385,000
Bal b/d **P & L**	377,000		

4. Damaged Stock

Purchases A/C

Bal b/d	377,000	Damaged Stock	2,500
		Balance c/d	124,250
	377,000		377,000
Bal b/d **P & L**	374,500		

Insurance Compensation (due) A/C

Damaged Stock BS	1,750		

Damaged Stock A/C

Purchases	2,500	Compensation	1,750
		Loss to P & L	750
	2,500		2,500

5. Delivery Vans

Delivery Van A/C

Bal b/d	185,000	Disposal	40,000
Trade in	14,250		
Purchases error	40,750	Bal c/d	200,000
	240,000		**240,000**
Bal b/d **BS**	200,000		

Provision for Depreciation A/C

Disposal	17,000	Bal b/d	90,000
Bal c/d	102,250	P & L	29,250
	119,250		**119,250**
		Bal b/d	102,250

185,000 x 15% x 4/12 = 9,250
200,000 x 15% x 8/12 = 20,000
29,250

40,000 x 15% = 6,000 x 2 years and 10 months = 17,000
6,000 + 6,000 + 5,000 = 17k

Disposal A/C

Van	40,000	Depreciation	17,000
		Allowance	14,250
		Loss to P & L	8,750
	40,000		**40,000**

Purchases A/C

Bal b/d	374,000	Error VanA/C	40,750
		Balance c/d	333,750
	374,000		**374,500**
Bal b/d	333,750		
		(55,000 – 14,250) = 40,750	

6. Land & Buildings

Land & Buildings A/C

Bal b/d	875,000		
Reval Reserve	100,000	Balance c/d	975,000
	975,000		**975,000**
Bal b/d **B/S**	975,000		

Provision for Depreciation A/C

Reval Reserve	73,800	Bal b/d	60,000
Ba c/d	0	P & L **	13,800
	73,800		**73,800**
		Bal b/d	0

875,000 – 185,000 = 690,000 x 2% = 13,800 **

Revaluation Reserve A/C

		Buildings	100,000
Bal c/d	173,800	Balance c/d	73,800
	173,800		**173,800**
		Bal b/d	173,800

7. Patents

Patents	75,250	
+ 4 mths Inv. Income	3,200	240,000 x 4% x 4/12
	78,450	
- 6 year write-off to P & L	13,075	
	65,375	**BS**

8. Reconciliation of Bank

Bank A/C

Debtors (1)	2,700	Bal b/d	31,000
Cheque error creditors (2)	180		
Investment Income (4)	850		
Bal c/d	27,270		
	31,000		**31,000**
		Bal b/d **BS**	27,270

Bank Reconciliation Statement		**€**
Balance per Bank Statement		- 30,970
Add Lgts not yet credited		4,900
		-26,070
Less: cheque not presented		- 1200
Balance per Bank A/C	B/S	27,270

Investment Income A/C

		Patent Error 240k x 4%/12x4	3,200
Bal c/d	4,050	Bank	850
	4,050		**4,050**
		Bal b/d	4,050

Debtors A/C

Bal b/d	42,000	Bank (CT)	2,700
		Bad Debt	6,300
		Bal c/d	33,000
	42,000		**42,000**
Bal b/d	33,000		

Bad Debt A/C

Debtors P & L	6,300		

Creditors A/C

		Bal b/d	24,500
Ba, c/d	24,680	Chq error	180
	24,680		**24,680**
		Bal b/d **BS**	24.680

9. Advertising

Advertising paid	24,000	
-amount prepaid	-17,600	24,000 x 11 /15 = 17,600 BS
P & L	6,400	

10. (i)

Investment Income A/C

P & L 240k x 4% x 7/12	5,600	Bal b/d (See Note 8)	4,050
		Balance c/d	1,550
	5,600		**5,600**
Bal b/d **BS**	1,550		

Interest Payable A/C

Bal b/d	4,000	P & L	8,500
Bal c/d	4,500		
	8,500		**8,500**
		Bal b/d **B/S**	4,500

150,000 x 4% =	6,000
75,000 x 4% x 10/12 =	2,500
	8,500

(ii)

Provision for Bad Debts A/C

P & L (Decrease)	1,220	Bal b/d	3,200
Bal c/d (33,000 x 6%)	1,980		
	3,200		**3,200**
		Bal b/d	1,980

Debtors	33,000
Less Bad Debt Provision	- 1,980 BS
	31,020

(iii) Sales Commission

645,500 – 450,000 = 195,500 x 3% = 5,865 **P&L & BS**

1(B). FINAL ACCOUNTS – SOLE TRADER 120 MARKS

* Deduct one mark for each heading omitted from P & L A/C
** No marks lost for order of P & L A/C, i.e. income before or after expenses

(a) Trading, Profit & Loss Account of Sean Barrett for the year ended 31/12/2024 (1) (70 marks)

	Workings	€		€	€
Sales			(2)		572,000
Cost of Sales					
Opening Stock			(2)	28,500	
Purchases	1		(7)	338,850	
				367,350	
Closing Stock	2		(6)	-53,850	
Cost of Sales					-313,500
Gross Profit					258,500
Other Income					
Profit on Disposal /Dis Rec	3		(6)	750	
Investment Interest	4		(3)	3,500	
Rent			(3)	12,000	16,250
Total Income					274,750
Adminstration Expenses					
Salaries & General Expenses		82,500	(3)		
Insurance		16,250	(3)		
Depreciation on Premises	5	14,175	(4)		
Depreciation on Office Equipment	6	2,000	(4)		
Loss on Damaged Stock	7	750	(4)		
Patent written-off	8	14,120	(4)	129,795	
Selling & Distribution					
Discount Allowed		1,200	(2)		
Depreciation on Vans	9	14,800	(4)		
Loss on Disposal of Delivery Van	10	8,000	(3)		
Commission		7,450	(3)	31,450	
Total Expenses					161,205
Operating Profit					113,505
Mortgage Interest	11		(4)		(14,550)
Net Profit			(2)		98,955

(b) Balance Sheet of Sean Barrett as at 31/12/2024 **(50 marks)**

	W	€		€		€		€	
Intangible Assets									
Patents	**8**							56,480	**(3)**
Tangible Fixed Assets		**Cost**		**Acc Dep**		**NBV**			
Premises	**12**	550,000		0		550,000			**(3)**
Delivery vans	**13**	125,000	**(3)**	60,800	**(3)**	64,200	**(1)**		
Office Equipment	**14**	10,000	**(2)**	8,500	**(2)**	1,500	**(1)**		
		685,000		69,300		615,700		615,700	
Financial Assets									
7% Investments								120,000	**(2)**
Current Assets									
Debtors	**15**	63,700	**(2)**						
Provision for Bad Debts		-3,500	**(1)**			60,200			
Stock	**2**					53,850			**(1)**
Investment Interest due	**4**					700			**(2)**
Insurance Compensation due						4,250			**(3)**
VAT	**16**					11,250			**(2)**
						130,250			
Less Creditors: **(amounts falling due within 1 year)**									
Creditors	**17**		**(4)**	41,100					
Bank overdraft			**(2)**	34,600					
PAYE/PRSI/USC			**(2)**	8,500					
Mortgage Interest due	**11**		**(2)**	11,100		95,300			
Working Capital								34,950	
Total Net Assets								**827,130**	
FINANCED BY:									
Creditors: **(amounts falling due after 1 year)**									
8% Fixed Mortgage								280,000	**(2)**
Capital						302,000			**(2)**
Revaluation Reserve	**18**					176,675			**(2)**
Add Net Profit						98,955			**(1)**
						577,630			
Less Drawings	**19**					30,500	**(2)**	547,130	
Capital Employed								827,130	

Question 1 (B) Workings

Breakdown of individual marking scheme:
Penalise 1 mark for the omission of two headings in the Profit & Loss Account and Revaluation Reserve after Net Profit in Balance Sheet.

	Workings:	
1	Purchases 375,000 - 3,750 - 28,000 -5,000 + 5,600 - 5,000 =	338,850
2	Closing Stock 52,000 - 3,750 + 5,600 =	53,850
3	Profit on Disposal of Equipment/Discount Received 5,000 - 1,500 - 4,250 =	750
4	Investment Interest 120,000 x 7% x 5/12 =	3,500
	Investment interest due 3,500 - 2,800	700
5	Depreciation on Buildings (480,000 – 7,500) x 3% =	14,175
6	Depreciation on Office Equipment (15,000 - 5,000) x 20% =	2,000
7	Loss on Damaged Stock 5,000 - 4,250 =	750
8	Patents write-off (67,800 + 2,800) = 70,600 / 5 =	14,120
	Patents 70,600 – 14,120 =	56,480
9	Depreciation on Delivery Vans (120,000 x 12% x 4/12) 4,800	
	(125,000 x 12% x 8/12) = 10,000	14,800
10	Loss on Disposal Delivery Van 30,000 - 15,000 - 7,000 =	8,000
11	Mortgage Interest (230,000 x 6%) + (50,000 x 6% x 3/12) =	14,550
	Mortgage Interest due 14,550 - 3,450 (4,500 - 1050)	11,100
12	Buildings 480,000 – 7,500 + 77,500 =	550,000
13	Delivery Vans 120,000 + 28,000 + 7,000 - 30,000 =	125,000
	Accumulated Deprec. On Del. Vans 61,000 + 14,800 - 15,000 =	60,800
14	Office Equipment 15,000 - 5,000 =	10,000
	Accumulated deprec. On Office Equip. 8,000 + 2,000 - 1,500 =	8,500
15	Debtors 64,000 - 300 =	63,700
16	VAT 3,750 + 7,500 =	11,250
17	Creditors 43,500 - 3,750 + 5,600 -4,250 =	41,100
18	Revaluation Reserve 77,500 + 99,175 =	176,675
19	Drawings 25,500 + 5,000	30,500

WORKINGS – SOLE TRADER
Workings in T account format

1.

Closing Stock Initial value 31/12/			52,000
Less Sale or Returns (i} 4,500 /120 x 100 =			-3,750
add Goods 'Transit' (ix} 7,000/125 x 100 =			5,600
			53,850

Purchases A/C

B/D	375,000	Crs	3,750
		C/D	371,250
	375,000		**375,000**
B/D	371,250	**> note 2**	

Creditors A/C

Purchases	3,750	B/D	43,500
C/D	39,750		
	43,500		**43,500**
		B/D	39,750

2. Dep on Delivery Vans @ 12%

Delivery Van A/C

B/D	120,000	Disposal	30,000
Bank	28,000		
Trade in	7,000	C/D	125,000
	155,000		**155,000**
B/D	125,000		

Provision for Depreciation A/C

Disposal	15,000	B/D	61,000
C/D	60,800	P & L*	14,800
	75,800		**75,800**
		B/D	60,800

Disposal A/C

Delivery Van	30,000	Depree***	15,000
		Trade in	7,000
		Loss to P/L	8,000
	30,000		**30,000**

*** 30,000 X 12% = 3,600 *

YR	**Months**	**Dep**	**P & L Charge for 2024**	
2020	10	3,000	30,000 X 12% X 4/12	1,200
2021	12	3,600	35,000 X 12% X 8/12	2,800
2022	12	3,600	90,000 X 12%	10,800
2023	12	3,600		
2024	4	1,200		
		15,000		**14,800**

Purchases A/C

B/D	371,250	Van error	28,000
		C/D	343,250
	371,250		**371,250**
B/D	343,250		

3.

Suspense A/C

Drs error	300	Balance B/D	1,350
Mortgage Interest error	1,050	C/D	
	1,350		**1,350**

Discount A/C

B/D	1,200		

Mortgage Interest A/C Bal Figure

B/D	4,500	Suspense (Mortg Int}	1,050
		C/D **	3,450
	4,500		**4,500**
B/D	3,450		

Debtors A/C

B/D	64,000	Suspense (Disc All'd}	300
			63,700
	64,000		**64,000**
B/D	63,700		

** Mortgage Interest for first three months 230,000 x 6% x 3/12 = 3,450

4. Patents

Patents A/C

B/D	67,800	P & L 70,600 w/o over 5yrs	14,120
Inv Income error	2,800	C/D	56,480
	70,600		**70,600**
B/D	56,480		

5. Warehouse

Premises A/C

B/D	480,000	1/1/ VAT Error	7,500
		C/D	472,500
	480,000		**480,000**
B/D	472,500		

VAT A/C

B/D	3,750		
Buildings	7,500	C/D	11,250
	11,250		**11,250**
B/D	11,250		

6.

Premises A/C

B/D	472,500		
Rev Reserve	77,500	C/D	550,000
	550,000		**550,000**
B/D	550,000		

Provision for Depreciation A/C

		B/D	85,000
Rev Reserve	99,175	P & L 472,500 x 3%	14,175
	99,175		**99,175**

Revaluation Reserve A/C

		31/12/Premises	77,500
C/D	176,675	Depreciation	99,175
	176,675		**176,675**
		B/D	176,675

7.

Mortgage Interest A/C

B/D	3,450	P & L **	14,550
C/D	11,100		
	14,550		**14,550**
		B/D	11,100

230,000 X 6%	13,800	**
50,000 X 6 X 3/12	750	
	14,550	

Investment Interest A/C

P&L	3,500	B/D	2,800
120,000 X 7% X 5/12		C/D	700
	3,500		**3,500**
B/D	700		

8. **Drawings:** 6,000 x 100/120 = 5,000

Purchase A/C

B/D	**343,250**	Drawings	5,000
		C/D	338,250
	343,250		343,250
B/D	338,250	> note 9	

9. **Goods-in-Transit**

Purchases A/C

B/D	338,250		
Transit	5,600	C/D	343,850
	343,850		**343,850**
B/D	343,850		

Creditors A/C

		B/D	39,750
C/D	45,350	C/D	5,600
	45,350		**45,350**
		B/D	45,350

10. Damaged Stock

Purchases A/C

B/D	343,850	Damaged Stock	5,000
		C/D	338,850
	343,850		**343,850**
B/D	338,850		

Damaged Stock A/C

Purchases	5,000	Insurance due	4,250
		Loss P & L	750
	5,000		**5,000**

Insurance Compensation due A/C

Damaged Stock	4,250		

11. Disposal of Office Equipment

Office Equipment A/C

B/D	15,000	Disposal	5,000
Rev Reserve		C/D	10,000
	15,000		**15,000**
B/D	10,000		

Provision for Depreciation A/C

Disposal (5,000-3,500	1,500	B/D	8,000
C/D	8,500	P & L 10k x 20%	2,000
	10,000		**10,000**
		B/D	8,500

Disposal of Office Equipment A/C

Office Equip	5,000	Dep 5,000 – 3,500	1,500
Profit to P & L	750	Creditors	4,250
	5,750		**5,750**

Creditors A/C

Disposal of Office Equip	4,250	B/D	45,350
C/D	41,100		
	45,350		**45,350**
		B/D	41,100

2. DEBTORS CONTROL ACCOUNT — 60 MARKS

(30 marks)

			Debtors	Ledger Control A/C		
(a)	Balance b/d	**(2)**	26,870	Balance b/d	**(2)**	410
	Credit note (i)	**(4)**	28	Bills Receivable (iii)	**(4)**	1,200
	Cash Sales (ii)	**(4)**	560			
	Invoice ((iv)	**(4)**	846			
	Refund (v)	**(4)**	205			
	Interest (vi)	**(4)**	104			
	Balance c/d	**(2)**	***205	Balance c/d		***27,208
			28,818			**28,818**
	Balance b/d		27,208	Balance b/d		205

(22 marks)

(b)	**Adjusted List (Schedule) of Debtors' Balances**				
		€		**€**	**€**
	Original Balance per list		**(4)**	25,242	***
	ADD: Invoice (iv)	1,880	**(4)**		
	Refund (v)	205	**(3)**	2,085	
				27,327	
	LESS: Credit note (i)	212	**(4)**		
	Interest (vi)	112	**(4)**	-324	
	Balance as per Adjusted Control A/C	**	**(3)**	**27,003**	(27,208 – 205)

*** Accept correct figure only.
** Accept student's own figure(s).

(c) **(8 marks)**

(i) Contra item (4)

This is where a customer is also a supplier to a business. In this case, a debt incurred as a customer is offset against a debt charged as a supplier to leave one net figure in the accounts.

(ii) Limitations of using control accounts (2 + 2 = 4)

Control accounts do not identify which ledger account may contain an error.
Some types of error are not revealed by the control account such as errors of commission, errors of omission, compensating errors and errors of original entry.

3. CLUB ACCOUNTS — 60 MARKS

Accumulated Fund as at 01/01/2024 **(24 marks)**

	€		€	
Assets:				
Clubhouse and course	750,000	**(1)**		
Machinery	60,000	**(1)**		
Bar stock	4,250	**(1)**		
Bar debtors	175	**(1)**		
Subscriptions due	3,000	**(2)**		
Investment interest due	600	**(1)**		
3% Investments W1	40,000	**(3)**		
Bank	9,500	**(2)**		
Levies due	800	**(2)**		
			868,325	
Liabilities:				
Bar creditors	1,500	**(1)**		
Life membership	45,000	**(1)**		
Levy reserve fund	30,000	**(1)**		
Wages due	1,750	**(1)**		
Loan W2	78,000	**(2)**		
Loan interest due	4,680	**(2)**		
			160,930	
Accumulated Fund 01/01/2024			*** 707,395**	**(2)**

* *Accept correct figure only.*

Income & Expenditure A/C of Rovers Golf Club for the year ended 31/12/2024 **(28 marks)**

	€		€	
Income:				
Bar Profit	44,125	**(4)**		
Investment interest	1,600	**(2)**		
Subscriptions	113,450	**(7)**		
Entrance fees	26,000	**(1)**		
Sponsorship	15,000	**(1)**		
Catering profit	4,250	**(2)**		
Life membership write-off	6,000	**(2)**		
Competition profit	26,350	**(2)**		
			236,775	
Expenses:				
General expenses	22,250	**(1)**		
Loan interest	5,850	**(2)**		
Depreciation:				
Clubhouse	7,500	**(1)**		
Machinery	20,000	**(1)**		
Total Expenses			55,600	
Excess Income			*** 181,175**	**(2)**

* *Accept correct figure only.*

(c) Advice from the Treasurer to the Committee **(8 marks)**

(Any 2 of the following points at 4 marks each)

(i) The club has a Bank balance of €155,620, it should consider investing much of this money in some form of an investment account in order to earn interest;

(ii) As the Club has Excess Income of €181,175, it may be worth considering ceasing the levy on members as the club does not need those funds;

(iii) Normally life memberships are offered to members if there is a shortage of funds and the club needs to get in a lot of money in the short-term. In the case of Rovers Golf Club, it would appear that is not now necessary and should therefore cease offering them.

(iv) The club could consider reducing the annual subscriptions for members, which it could afford and may encourage more members to join.

+ Any other logical point given by a student that makes sense.

W1	Investment Interest	2,200	**(1)**
	due @ 01/01	-600	**(1)**
	I & E	1,600	
	> 1,600 / 4%	40,000	**(3)**

W2	Loan and Loan Interest (18 months)		
	Loan 18 months @9% pa = 13.5% + 100% Loan		**(1)**
	113.5% = 88,530 > 100% = 88,530 x 100/113.5 =	78,000	**(1)**
	10,530 x 8/18 = 4,680 due 01/01/		**(2)**
	10,530 x 10/18 = 5,850 I & E		**(2)**

W3 Bar Trading Account

Sales (67,500 + 600 – 175)			67,925	**(1)**
Cost of Sales				
Opening Stock	4,250	**(1)**		
Purchases (25,400 + 2,500 – 1,500)	26,400	**(1)**		
	30,650			
Closing Stock	-6,850	**(1)**		
Cost of Sales			-23,800	
Bar Profit			44,125	

W4 Subscriptions

	€	
Receipts	160,000	
Less Dishonoured cheque	-400	**(1)**
Less due 01/01	-3,000	**(1)**
Less Life membership (error)	-15,000	**(1)**
Less Prepaid 31/12/	-1,750	**(1)**
Less Levies due 2023 (error)	-800	**(1)**
Levy Reserve Fund (error)	-26,000	**(1)**
Plus Subs due 31/12/ (Dishonoured cheque)	400	**(1)**
I & E	113,450	

W5 Life Membership

01/01/2024 Balance	45,000	
Plus Subscriptions Error	15,000	**(1)**
	60,000	
Amortisation (10 years) I & E	-6,000	**(1)**
	54,000	

W6 Catering

Catering receipts		8,400	**(1)**
Catering purchases	5,000		
Less Closing Stock	-850	-4,150	**(1)**
Profit I & E		4,250	

W7 Competition

Receipts	51.250	**(1)**
Prizes	-24,900	**(1)**
Profit	26,350	

W8 Depreciation: Clubhouse

750,000 – Land 500,000 = 250,000 x 3%	7,500	**(1)**

W9 Depreciation: Machinery

60,000 + 40,000 = 100,000 x 20%	20,000	**(1)**

W10 General Expenses

24,000 – 1,750 =	22,250	**(1)**

4. CASH FLOW STATEMENT — 60 MARKS

(a) Reconciliation of operating profit to net cashflow from operating activities (15 marks)

	€	
Operating Profit	78,600	**(2)**
Depreciation charge	25,000	**(3)**
Profit on sale of fixed assets	-25,000	**(2)**
Amortization of goodwill	10,000	**(2)**
Increase in stock	-16,000	**(2)**
Decrease in debtors	2,000	**(2)**
Increase in creditors	15,000	**(2)**
Net cash inflow from Operating Activities	89,600	

Cash Flow Statement of Moore Plc for the year ended 31/12/2024 (30 marks)

	€		€
Operating Activities			
Net Cash inflow from operating activities (*own figure)		**(1)**	89,600
Return on Investment & Servicing of Finance (1)			
Interest received	2,650	**(2)**	
Interest paid	-5,350	**(2)**	-2,700
Taxation (1)			
Corporation tax paid		**(2)**	-18,250
Capital Expenditure & Financial Investment (1)			
Payment to acquire fixed assets	-30,000	**(2)**	
Receipts from sale of fixed assets	46,000	**(2)**	
Purchases of investment	-100,000	**(2)**	-84,000
Equity Dividends paid (1)			
Ordinary dividends paid		**(1)**	-19,000
Net Cash outflow before management of liquid resources and financing			-34,350
Management of Liquid Resources (1)			
Purchase of Government Securities		**(1)**	-12,000
Financing (1)			
Repayment of debentures	-20,000	**(2)**	
Receipts from the issue of shares	70,000	**(2)**	
Receipts from share premium	8,000	**(2)**	58,000
Increase in cash		**(3)**	**11,650****

****accept correct fig with correct working**

Change in Cash/Bank position	**2023**	**2024**
Cash	1,350	2,000
Bank	-5,000	6,000
	-3,650	8,000
	Plus 11,650	

Reconciliation of Net Cash Flow to movement in Net Debt **(7 marks)**

	€		
Increase in cash	11,650		
Cash used to purchase liquid resources	12,000	**(2)**	Gov Sec
Cash used to repay debentures	20,000	**(2)**	
Change in net debt	**43,650**		
Net debt 01/01/2024	-40,650	**(1)**	
Net Funds 31/12/2024 **(1)**	3,000	**(1)**	

*** Net Debt**	**01/01/2024**	**31/12/2024**
Cash/Bank	-3,650	8,000
Debentures	-75,000	-55,000
Government Securities	38,000	50,000
	-40,650	3,000

(b) **(8 marks)**

(any 3 points at 2 marks each)

(i) Outline the reasons why cash flow statements are prepared. **(6)**

- CFS are prepared in order to analyse cash inflows and outflows during the previous year.
- They are also prepared to emphasise to stakeholders that profits do not equal cash.
- CFS are used to assess the liquidity of the business, as an aid to managment in financial planning.
- To assist in predicting future cash flows.
- It is a legal requirement for all large private companies and all public companies. It is also highly recommended for all small and medium private companies.

(ii) What is a Financial Reporting Standard? **(2)**

A Standard is prepared by the regulatory authorities. It is best practice in accounting and allows accounts to be compared from year to year and from company to company.

Workings: ** refers to missing figure(s)

	Premises	**A/C**	
B/D	750,000	Disposal **	30,000
		C/D	720,000
	750,000		**750,000**
B/D	720,000		
	Provision	**for Depreciation A/C**	
Disposal **	9,000	B/D	35,000
C/D	42,000	P & L	16,000
	51,000		**51,000**
		B/D	42,000
	Disposal	**A/C**	
Premises	30,000	Depreciation **	9,000
Profit to P & L **	25,000	Bank	46,000
	55,000		**55,000**
	Interest	**Payable A/C**	
Bank **	5,350	B/D	3,750
C/D	3,000	P & L	4,600
	8,350		**8,350**
		B/D	3,000

	Interest	**Receivable A/C**	
B/D	400	Bank **	2,650
P & L	2,750	C/D	500
	3,150		**3,150**
B/D	500		
	Taxation	**A/C**	
Bank **	18,250	C/D	14,250
C/D	18,000	P & L	22,000
	36,250		**36,250**
		B/D	18,000

5. INTERPRETATION OF ACCOUNTS — 100 MARKS

(a) Interpretation of Accounts **(50 marks)**

(i) Cash Purchases **(12)**

Creditors Days = Creditors x 12 **(2)**
Credit Purchases

70,000 x 12 = 1.5 **(3)**
X

1.5x = 840,000

Credit Purchases x = 560,000 **(2)**

Total Purchases: Cost of Sales + CS - OS **(3)**
720,000 + 78,000 – 55,000
= 743,000

Cash Purchases = 743,000 – 560,000 **(2)**
= €183,000

(ii) Earnings per ordinary share **(10)**

= Earnings / No. of ordinary shares = 149,200 / 740,000 = 0.2016 **(3)** = 20.16c **(1)**
(3) **(3)**

(iii) Interest Cover **(8)**

= Operating Profit / Interest = X times = 179,500 / 19,500 **(3)** **(3)** = **9.21 times (2)**

(iv) Rate of Stock Turnover **(10)**

Cost of Sales / Average Stock = 720,000 / ½ (55,000 + 78,000) **(3)**
720,000 / 66,500 = 10.827 **(3)** **(1)**
= 10.83 times **(3)**

(v) Recovery of value one ordinary share at present payout rate **(10)**

Recovery = Market Value / Ordinary Dividend per share **(2)**
145 **(2)** / 3.41 **= 42.52 years** **(1)** **(1)**

Dividend per share = Ordinary Dividends / No. of Ordinary Shares
(2)

= 25,200 / 740,000 = **3.41c per share (2)**

*Note: * Full marks awarded for correct answer even if no workings or incorrect workings shown.*
*** Figures in brackets show breakdown of marks if answer incorrect.*

(b) Debenture holder – would they be satisfied? (40 marks)

I have analysed Murphy Ltd under the following headings:

Profitability (7) (Performance)

The Return on capital employed has improved from 11.2% in 2023 to 12.38% in 2024. **(1)**
The trend **(1)** is satisfactory and 12.38% is well above the return from risk-free investments of around 2% **(2)** and is also above current lending rates of 5% **(1)**. Debenture holders should be satisfied.
Earnings per share has increased from 18c in 2023 to 20.16c in 2024 **(1)**. The trend is positive and indicates that Murphy's earning capacity **(1)** has improved by 2.16c.
A debenture holder would be assured that with such a strong performance compared to last year that Murphy Ltd would be able to repay loans along with interest in the future.

Dividend Policy (4) (Performance)

Dividend cover has improved from 3.6 times in 2023 to 5.91 times in 2024 **(1)**. 5.91 times appears quite high and would indicate that Murphy Ltd is paying out a small portion of its profits in the form of dividends to shareholders and retaining most of it in the company for repayment of debenture or expansion purposes.
This would suggest that the company is planning for the future and debenture holders would be satisfied that the company is being strategically managed **(1)**

Liquidity (6) (State of Affairs)

The Quick ratio has disimproved from 1.2:1 in 2023 to 0.57:1 in 2024. **(1)** The trend is a concern as 0.57:1 is below the accepted standard of 1:1, which would indicate that Murphy Ltd has a liquidity problem **(1)**, i.e. finding it difficult to pay its ongoing debts **(1).**
Presently, for every €1 it owes on the short term it has 0.57 in liquid assets to repay the short-term debt **(2)**. A debenture holder would be concerned that Murphy Ltd is carrying on a level of trade which its working capital is unable to sustain **(1).**

Gearing (8) (State of Affairs)

Capital gearing has improved from 42% in 2023 to 39.31% in 2024 **(1)**. The trend is satisfactory and as Murphy Ltd is lowly geared it would be deemed a less-risky **(1)** investment with most of its long term finance coming from equity shareholders **(1)**. The debenture is due for repayment in 2034/35. There is nothing in the accounts to show that Provision is being made for this repayment. **(1)**
Interest cover has disimproved from 11 times in 2023 to 9.21 times in 2024 **(1)**. There is a slight decrease in trend but the company still appears to be making ample profits to cover the loan interest payments **(1)** Debenture holders would be satisfied with Murphy as it should have no difficulty servicing its debts **(2).**

Sector (4) (Prospects)

Murphy Ltd is Construction Company in the Building industry. **(1)** In short term this is a very good sector to be in at the moment as the construction industry is in huge demand and has significantly expanded over the past few years where there is a immense demand on housing Nationwide. **(1)**
Property developers are struggling to supply the level of demand for housing accross the country but its very much accute in the urban areas. The consequences of this pent up demand is that the Construction Industry is employing a significant number of people in this Industry, which is very good overall for the Irish Economy and security of employment. **(2)** In long-term demand will continue but shortage of skilled workers for construction industry will be challenging**.**

Fixed Assets/Security (4)

Tangible fixed assets are valued at €977,000 in the balance sheet **(1)**. Debenture holders would be interested to know if this figure represents their true value and if depreciation has been accounted for **(1)**. However, there does appear to be ample security **(1)** to cover the present debentures of €390,000 which are due to be repaid by 2034/2035 **(1)**.

Investments (3)
Investments which cost the company €240,000 now have a market value of €300,000 **(1).**
Debenture holders would be satisfied and have confidence in the management of the company with their investment decision-making. **(2)**
OR
Intangible Assets (3)
Intangible assets are valued at €185,000 in the balance sheet **(1)**. Debenture holders would be interested to know what this figure actually represents, i.e. Goodwill or maybe a Patent/Design/Trademark which would have a transfer value **(2)**.

Conclusion (4)
Though there is a slight concern over liquidity **(1)** the debenture holders would be satisfied with the performance, state of affairs and prospects of Murphy Ltd **(3).**
Breakdown of marks/figures given in brackets.

Workings

	2024	**2023**
Gross Profit	369,500	
Operating Profit 369,500- 190,000	179,500	
Earnings 160,000 – 10,800 (i.e. 180,000 x 6%)	149.200	
Ordinary Dividends (36,000 – 10,800)	25,200	
No. of Ordinary Shares	740,000	
ROCE 179,500 / 1,450,000 x 100%	12.379 12.38%	11.2%
Quick Ratio 118,000 – 78,000 / 70,000	0.57 : 1	1.2 : 1
Capital Gearing 570,000 / 1,450,000 x 100%	39.31%	42%
Interest Cover 179,500 / 19,500	9.205 times 9.21 times	11 times
EPS	20.16c	18c
DPS	3.41c	5c
Dividend Cover	5.91 times	EPS 18 / DPS 5 3.6 times
P/E Ratio 145 / 20.16 = 7.19 years	7.19 years	140 / 18 = 7.78 years
Market Value	€1.45	€1.40
Dividend Yield DPS / Market Price x 100 = 3.41c / 145 x 100	2.35%	5c / 140 x 100 3.57%

Sales		1,089,500
Less Cost of Sales		
Opening Stock	55,000	
Purchases	743,000	
	798,000	
Less Closing Stock	(78,000)	
Cost of Sales		(720,000)
Gross Profit		**369,500**
Less Expenses		(190,000)
Less Interest for the year		(19,500)
Net Profit for the year		160,000
Less Preference dividends		(10,800)
Net Profit after Preference		**149,200**

(c) **(10 marks)**

Reynold Construction

The Return on Capital Employed at Reynold Construction is 14.4%. This is significantly greater than Dwyer Construction at 6.9% and also higher than Murphy Ltd at 12.38%. **(1)**

The current ratio of 1.7:1 is close to the ideal when compared to the accepted norm of 2:1 which, including stock figures, indicates that Reynold Construction is well-able to pay its ongoing debts.

The quick ratio of 0.70:1 is quite low when compared to the accepted norm of 1:1 and is also below that of Dwyer Construction, however higher than Murphy's figure quick ratio of 0.57:1. This however does indicate a liquidity problem and that a lot of its working capital is tied up in stock. **(2)**

Dwyer Construction

The Return on Capital Employed is 6.9%. This is well-below Reynold Construction and also below Murphy Ltd **(1)**. The current ratio of 1.6:1 is marginaly below the norm of 2:1. The quick ratio is 1.2:1, which is above the accepted norm of 1:1. The quick ratio of Dwyer at 1.2:1 is significantly better than of Murphy' s quick ratio at .57:1. **(2)**

The issue for Murphy Ltd is which is best to buy: a more profitable company or a more liquid company. **(1)**. The answer is dependant on Murphy's own position. As it currently does have a liquidity problem itself it would be advisable to buy a company that will help its own liquidity **(2)**. However, management should also look closely at its profitability figures at 6.9%.

Can this be improved upon, otherwise overall profitability **(1)** of the group could drop below Murphy's present figure of 12.38% which would not be satifactory.

My advice would be to purchase Dwyer Construction.

Accept other appropriate answers.

6. TABULAR STATEMENT — 100 MARKS

Ascot Ltd - Tabular Statement at 31/12/2024

Assets	01/01/2024	Jan		Feb		March	W	April		May	W	June	
Land and Buildings	295,000	80,000	(3)					90,000	(2)				
Depreciation (L & B)	-21,500	21,500	(3)										
Motor vehicles	75,000							25,000	(2)				
Depreciation (MV)	-28,500												
Investments	60,000												
Stock	36,950							5,000	(2)	-15,000	(3)		
Debtors	20,000									20,340	(2)		
Bad debt provision	-1,000			-200	(3)								
Rent prepaid	1,500											6,000	(2)
Bank	-6,750			-1,200	(2)	145,600	(2)					-6,000	(2)
Goodwill								18,500	(2)				
Total Assets	**430,700**	**101,500**		**-1,400**		**145,600**		**138,500**		**5,340**		**0**	
Liabilities													
Creditors	15,400							35,000	(2)				
VAT	4,000									2,340	(3)		
Wages due	1,200			-1,200	(2)								
Loan	110,000												
Share capital	250,000					130,000	(2)	90,000	(2)				
Share premium	17,500					15,600	(2)	13,500	(2)				
Profit & loss	32,600			-200	(2)					3,000	(2)		
Revaluation reserve		101,500	(3)										
Total Liabilities	**430,700**	**101,500**		**-1,400**		**145,600**		**138,500**		**5,340**		**0**	
			9		9		6		14		10		4

All marks awarded for correct figures only

Ascot Ltd - Tabular Statement at 31/12/2024

				W		W		W		W (June)		W					
June		**July**		**Sept**		**Oct**		**Nov**		**Dec**		**Dec**		**Dec**		**Total 31/12/2024**	
																465,000	
														-6,350	(2)	-6,350	
												21,000	(2)			121,000	
												3,600	(2)	-15,000	(2)	-39,900	
				-27,000	(2)											33,000	
						1,250	(4)									28,200	
		-950	(2)			-1,500	(2)	2,550	(2)							40,440	
																-1,200	
										-4,500	(3)					3,000	
3,000	(1)	900	(2)					850	(2)			-27,000	(2)			109,400	
																18,500	
3,000		**-50**		**-27,000**		**-250**		**3,400**		**-4,500**		**-2,400**		**-21,350**		**771,090**	
																50,400	
						-195	(2)									6,145	
				-27,000	(2)											83,000	
																470,000	
																46,600	
3,000	(1)	-50	(2)			-55	(2)	3,400	(2)	-4,500	(3)	-2,400	(2)	-21,350	(2)	13,445	
																101,500	
3,000		**-50**		**-27,000**		**-250**		**3,400**		**-4,500**		**-2,400**		**-21,350**		**771,090**	
	2		6		4		10		6		6		8		6		

WORKINGS:

			€	€
April:	Assets:	Buildings	90,000	
		M.V.	25,000	
		Stock	5,000	120,000
	Liab:	Creditors	35,000	35,000
		Worth		85,000
	Paid >	Shares	90,000	
		Sh Premium	13,500	103,500
		Goodwill		18,500

May:	€	Step 1	Step 2
Cost	15,000		100%
Profit	3,000		20%
Sales Price	18,000	100%	120%
VAT	2,340	13%	
Total Price	20,340	113%	

June: Rent

Bank	6,000	
P/P 01/01	1,500	
	7,500	
P/P 31/12	(3,000)	(6,000 x 6/12)
Dec: P & L	4,500	

Oct:		**Step 1**	**Step 2 - this step can be ignored**		
Cost	1,250		100%	>	1,250
Profit	250	20%		>	355
Sales Price	1,500	100%	125%	>	1,605
VAT	195	13%		>	195
Total Price	1,695	113%			1,800

Nov: Bad Debt Recovered

Rec'd	850	
Full debt recovered	**3,400**	850 X 100/25
Due 31/12	**2,550**	

Dec(I):

Motor Vehicles A/C

B/d	75,000	Disposal	24,000
Trade In	18,000		
Bank	27,000	C/D	96,000
	120,000		120,000
B/D	96,000		

Disposal A/C

M.V.	24,000	Dep	3,600
		Trade in	18,000
		Loss P/L	2,400
	24,000		24,000

Provision for Dep A/C

Disposal	3,600	B/D	28,500
C/D	39,900	P & L	15,000
	43,500		43,500
		B/D	39,900

Dec (2)

Depreciation on Buildings

(375,000 – 125,000) = 250,000 x 2%	=	5,000	
90,000 x 2% x 9/12	=	1,350	6,350
Depreciation on Motor Vehicles			15,000
			21,350

7. INCOMPLETE RECORDS — 100 MARKS

(a) S. Gray
Balance Sheet as at 31/12/2024 **(45 marks)**

	€		€		€	
Intangible Assets						
Goodwill (W1)					16,580	**(3)**
Fixed Assets	**Cost**		**Dep**		**NBV**	
Premises (W3)	255,000	**(1)**	25,000	**(1)**	230,000	
Equipment (W8)	12,000	**(2)**	2,400	**(1)**	9,600	
	267,000		27,400		239,600	
Financial Assets						
Investment Fund					17,565	**(2)**
					273,745	
Current Assets						
Debtors	14,550	**(3)**				
Stock	11,500	**(3)**				
Bank	63,170	**(2)**				
Rates prepaid	1,375	**(2)**	90,595			
Less Creditors (amounts due within 1 year						
Creditors	11,000	**(2)**				
VAT	6,200	**(2)**				
Loan Interest due	6,000	**(2)**				
Electricity due	470	**(2)**	-23,670			
Working Capital					66,925	
Total Net Assets					**340,670**	
Financed By:						
Creditors (amounts falling due after 1 year)						
Loan					150,000	**(1)**
Capital 01/01/2024			200,000	**(2)**		
+ Introduction			28,000	**(3)**		
			228,000			
+ Net Profit **(Loss)**			*(7,765)	**(4)**		
			220,235			
Less Drawings (W10)			-29,565	**(7)**	190,670	
Capital Employed					**340,670**	

* *Accept correct figure only.*

(b) Trading, Profit & Loss Account of S. Gray for year ended 31/12/2024 **(45 marks)**

	€		€	
Sales (80,510 x 100/20)		**(2)**	402,550	
Cost of Sales				
Opening Stock	5,000	**(2)**		
+ Purchases **(336,600 – 8,060) *****	328,540	**(2)**		
	333,540			
- Closing Stock (W12)	-11,500	**(2)**		
Cost of Sales			322,040	**(2)**
Gross Profit			80,510	**(2)**
+ Other Income				
Investment Fund Interest (W4)			65	**(3)**
Total Income			80,575	
-Expenses				
Light & Heat (W5)	4,950	**(4)**		
Interest (W6)	6,375	**(4)**		
Wages & General Exps (W7)	44,440	**(4)**		
Rates (W9)	4,725	**(4)**		
Bad Debt provision (W3)	450	**(4)**		
Depreciation: Premises (W3)	25,000	**(4)**		
Equipment (W8)	2,400	**(4)**	88,340	
Net Loss		**(2)**	(7,765)	*

***** Original Purchases =**
(328,540 + 8,060) = 336,600

(c) Summary of the advice you would give to Gray in relation to the information given above.
Any 2 points @ 5 marks each **(10 marks)**

Gray should keep a detailed cash book and general ledger supported by appropriate subsidiary day books. This would enable Gray to prepare an accurate Trading and Profit and Loss Account and therefore avoid reliance on estimates.

* *Accept own figure if consistent with previous work.*

1. Goodwill

Assets	**€**	**€**	
Premises	135,000		
Stock	5,000		
Debtors	4,950		
Rates prepaid	600		
Heating Oil	430		
Stationary	240	146,220	**(1)**
Liabilities			
Creditors	6,800		
Light & Heat due	300		
VAT	15,700	22,800	**(1)**
		123,420	
Paid		140,000	**(1)**
Goodwill		**16,580**	

2.

Bank A/C

Capital	200,000	Business	140,000
Loan	150,000	Premises	120,000
Dividends	4,000	L & H	6,000
Inheritance	24,000	Interest	1,500
Cash lodgement	60,100	Wages & Gen Exp	44,200
		Equipment	16,000
		Rates	5,500
		Investment Fund	17,500
		College fees	4,150
		Drawings fuel	3,300
		VAT	9,500
		Drawings Cheque	7,280
		Balance c/d	63,170
	438,100		**438,100**
Balance b/d	63,170	**(2)**	

3.

Premises

Cost 01/01	135,000	**(1)**
Plus Bank	120,000	**(1)**
	255,000	
Value 31/12/	230,000	
Depreciation P & L	25,000	**(4) P&L**

4. Investment Fund

Bank (1,750 x 10)	17,500	**(1)**
Investment Interest due 31/12 P & L	65	**(3)P&L**
B/S	17,565	

5. Light & Heat

Bank	6,000 **(1)**
Due 01/01	-300 **(1)**
Plus Stock 01/01	430 **(1)**
Plus due 31/12 B/S	470 **(2) BS**
Used	6,600
Less Drawings 25%	1,650 (1)
P & L	**4,950**

6. Interest

Bank	1,500 **(1)**
Due 31/12	6,000 **(1) BS**
Payable 150k x 6% x 10/12	7,500 **(1)**
Less Drawings 15%	-1,125 **(1)**
P & L	6,375

7. Wages & General Expenses

Bank	44,200 **(2)**
Plus Stock of stationery	240 **(2)**
P & L	44,440

8. Equipment

Bank	16,000 **(1)**
Less drawings 25%	-4,000 **(1)**
	12,000
Less Depreciation 20%	-2,400 **(1) P&L**
B/S	9,600

9. Rates

Bank	5,500 **(1)**
Plus Prepaid 01/01/	600 **(2)**
	6,100
Less Prepaid 31/12/ 5,500 x 3/12 B/S	-1,375 **(1) BS**
P & L	4,725

10. Drawings

Stock (155 x 52)	8,060 **(1)**
Bank (140 x 52)	7,280 **(1)**
L & H	1,650 **(1)**
Interest	1,125 **(1)**
Equipment	4,000 **(1)**
College fees	4,150 **(1)**
Bank – Fuel	3,300 **(1)**
	29,565

11. Debtors

Balance 31/12/	18,000 **(1)**
Less Sales or Returns	- 3,000 **(1)**
	15,000
Less bad debt provision (3%) P & L	-450 **(1) P&L**
B/S	14,550

12. Stock

3/12/	9,000 **(1)**
Add Sales or Returns 3,000 x100/120)	2,500 **(1)**
B/S CA	11,500 **(1)**

13. VAT

Due 01/01	15,700 **(1)**
Bank	-9,500 **(1)**
Due 31/12/2024	6,200

8. MARGINAL COSTING — 80 MARKS

Marginal Costing Statement

	€
Sales	750,000
-Variable Costs	(487,500)
Contribution	262,500
-Fixed Costs	(110,000)
Profit	152,500

	€
Sales Price	30.00
Variable Cost p.u.	-19.50
Unit Contribution	10.50

Break-up of Costs

Cost	Total (€)	FC	VC	VCpu
Direct Materials	170,000	0	170,000	6.80
Direct Labour	245,000	0	245,000	9.80
Factory O/H's	62,500	12,500	50,000	2.00
Selling expenses	50,000	27,500	22,500	0.90
Administration expenses	70,000	70,000	0	0
	597,500	**110,000**	**487,500**	**19.50**

(15 marks)

(a) **Breakeven** = $\frac{\text{Fixed Costs}}{\text{Unit Contribution}}$ = $\frac{110{,}000}{10.50}$ = 10,476.19

(3) **(3)** i.e. 10,477 units **(3)** **(9)**

Margin of Safety = Sales – B/E = 25,000 – 10,477 = 14,523 Units

(2) **(2)** **(2)** **(6)**

(b) **Target Profit** **= 152,500 x 115%** **= 175,375** **(10 marks)**

Units Req'd = $\frac{\text{Target Profit + Fixed Costs}}{\text{Unit Contribution}}$ = $\frac{175{,}375 + 110{,}000}{10.50}$

(3) **(3)**

= 27,178.57 **(3)**

27,179 units **(1)**

(c) **Sales – Variable Costs – Fixed Costs = Profit** **(15 marks)**

Selling Price = €25; FC = €121,000; VC = €19.35; Volume = 29,000 units

29,000 (25) – 29,000 (19.35) – 121,000 = Profit **(9)**

Profit (Loss) = 725,000 – 561,150 – 121,000 **(3)**

Profit = € 42,850 **(3)**

Note: VC per unit = €19.50 – €0.90 + €0.75 = €19.35

(d) Sales – VC - FC = Profit **(15 marks)**

25,000x – 25,000 (18.60 + 0.03 (x) - 123,200 = 152,500 **(5)**

25,000x – 465,000 – 750x - - 123,200 = 152,500 **(5)**

25,000x – 750x = 152,500 + 123,200 + 465,000 **(2)**

24,250x = 740,700 **(2)**

X = €30.54 **(1)**

(e) SP = €32; VC = 19.56** **(10 marks)**

Let x = no. of units

32x – 19.56x – 110,000 = 15% (32x) **(4)**

12.44x – 4.8x = 110,000 **(3)**

7.64x = 110,000 **(2)**

x = 14,397.91 ie. 14,398 Units **(1)**

Note: €30.00 x 3% = €0.90

€19.50 – €0.90 = €18.60

€32.00 x 3% = €0.96

€18.60 + €0.96 = €19.56 **

(f) FC = €155,000; Vcpu = €16.50 Volume = 28,000 units. Note €19.50 – €3.00 = €16.50 **(10 marks)**

Unit contribution = €30.00 – €16.50 = €13.50

Marginal Costing Statement

	€	
Sales (28,000 x €30.00)	840,000	**(1)**
-Variable Costs (28,000 x €16.50)	(462,000)	**(2)**
Contribution	378,000	
-Fixed Costs	(155,000)	**(2)**
Profit	223,000	**(1)**

Comment: (any 2 x 2)

- Profit increases by €70,500 (Note: 223,000 – 152,500)
- B/E Increases to 11,481 units (155,000/13.50), more risky and takes longer to reach B/E point.
- If variable cost per unit reduces by €3.00, would there be any danger to product quality?

(g) **Outline differences between Marginal Costing and Absorption Costing** **(5 marks)**

(Any 1 by 3m any other 2m)

1. They will always have different profit figures as Closing Stock is valued differently.
2. Marginal costing does not include fixed costs when costing a Product. Absorption costing does.
3. Aborption costing should be used when valuing stocks as it complies with good accounting practice.

(80 marks)

9. PRODUCTION BUDGETING — 80 MARKS

(a) Production Budget — (12 marks)

	Standard		Premium	
Budgeted sales in units	2,000	(2)	1,400	(2)
Add Closing Stock	36	(2)	54	(2)
	2,036		1,454	
Less opening stock	-40	(2)	-60	(2)
Budgeted production (Units)	1,996		1,394	

(b) Materials Purchase Budget — (18 marks)

	Materials A (Kg's)			Materials B (Kg's)	
Standard (1,996* x 6kgs)	11,976	(2)	(1,996* x 4kgs)	7,984	(2)
Premium (1,394* x 8kgs)	11,152	(2)	(1,394* x 8kgs)	11,152	(2)
	23,128			19,136	
Add Closing Stock	2,520	(2)		1,800	(2)
	25,648			20,936	
Less Opening Stock	-2,800	(2)		-2,000	(2)
Budgeted purchases RM in Kg's	22,848			18,936	
Purchase Price	5.50	(1)		7.00	(1)
Purchases in €	**125,664**			**132,552**	

(c) Production Cost/Manufacturing Budget — (20 marks)

Opening stock of raw materials	€	€	
A (2,800 x 4.00)	11,200		
B (2,000 x 5.00)	10,000	21,200	(4)
Add Purchases of raw materials (125,664 + 132,552)		*258,216	(2)
		279,416	
Less Closing Stock of raw materials			
A (2,520 x 5.50)	13,860		
B (1,800 x 7.00)	12,600	-26,460	(4)
		252,956	
Labour Cost			
Standard (1,996* x 5 x 20)	199,600		
Premium (1,394* x 6 x 20)	167,280	366,880	(2)
Variable Overhead			
Standard (1,996* x 5 x 7)	69,860		
Premium (1,394* x 6 x 7)	58,548	128,408	
Fixed overheads		275,160	(2)
Cost of Manufacture		** 1,023,404	(4)

*Full marks own figures
**Accept correct figure only

(d) Budgeted Closing Stock per unit **(10 marks)**

	Standard			Premium	
	€			€	
Material A (6kg x €5.50)	33	**(1)**	(8kg x 5.50)	44	**(1)**
Material B (4kg x €7.00)	28	**(1)**	(8kg x 7.00)	56	**(1)**
Direct Labour (5hrs x €20)	100	**(1)**	(6hrs x 20)	120	**(1)**
Variable overheads (5hrs x €7)	35	**(1)**	(6hrs x 7)	42	**(1)**
Fixed Overheads (5hrs x €15)	75	**(1)**	(6hrs x 15)	90	**(1)**
	271			**352**	

Fixed Overhead per direct labour hour

$$\frac{275{,}160}{(1{,}996 \times 5\text{hrs}) + (1{,}394 \times 6\text{hrs})}$$

$$\frac{275{,}160}{9{,}980 + 8{,}364}$$

$$\frac{275{,}160}{18{,}344} = €15.00$$

Budgeted Trading Account **(10 marks)**

	€		€		€
Sales (2,000 x 290) + (1,400 x 390)				**(4)**	1,126,000
Opening stock of finished goods					
Standard (40 x 210)	8,400				
Super (60 x 300)	18,000		26,400	**(2)**	
Cost of manufacture			1,023,404		
			1,049,804		
Less closing stock of finished goods					
Standard (36 x 271)	9,756				
Super (54 x 352)	19,008		-28,764	**(4)**	-1,021,040
Gross Profit					104,960

Outline why budget control is necessary in an organisation. **(10 marks)**

(Any 3 Points – 4/3/3)

Budgetary control is necessary to:

1. Draw up a plan of performance – budgets are a roadmap for the business.
2. Identify areas of responsibility to provide direction and motivation to staff to achieve targets.
3. To identify future costs and revenues in order to plan cash inflows and outflows and control costs.
4. Plan raw material requirements to ensure production levels can be achieved.
5. Plan labour requirements to ensure adequate staffing levels in all areas.
6. To compare actual figures with budgeted figures and identify any differences.